Alfa Laval (ALFA.ST) - Relative Valuation Report

Valuation date: 2026-10-30 | Mode: relative_only deviation (no DCF, no stage 2/4) | Status: PROVISIONAL

1. Valuation summary

Item	Value
Currency	SEK (reporting FY2025: SEK millions)
Current price (close 2026-10-30)	545.60
Primary multiple	PE, growth-scaled by consensus g_eps = 12.72% (earnings-based multiple most representative for a profita
Comparables, p25 - median - p75 per share	409.70 - 665.01 - 829.43
Difference vs price (median)	665.01 vs 545.60 = +21.9%
Regression estimate per share	343.26 (published EUROPE regression, chosen model: PBV, R2 = 0.423)
Difference vs price (regression)	343.26 vs 545.60 = -37.1%

Peer-multiple cross-checks (medians, per share): PBV-scaled 544.93; PS 534.16; EV/EBITDA 468.41; EV/EBIT 501.24; EV/CF 362.46. Published EUROPE regressions: PE (R2 0.201) 434.06; EV/EBITDA (R2 0.262) 710.47. Peer-adjusted view: fairly priced to ~22% cheap; market-wide published equations read ALFA ~20-37% rich on earnings and book value. No football-field chart was generated in this run.

No intrinsic (DCF) estimate is produced under the relative_only deviation; stages 1, 2 and 4 are marked skipped_by_deviation in run_state.json.

2. Peer set (10 of 10 selected at the Europe step)

Name	Ticker	Country	Tier	PE / PBV
GEA Group	G1A	Belgium	1	PE 26.7 / PBV 4.5
Halma	HLMA	United Kingdom	3	PE 43.9 / PBV 6.9
Atlas Copco A	ATCO.A	Sweden	1	PE 32.6 / PBV 7.8
Smiths Group	SMIN	United Kingdom	2	PE 25.8 / PBV 3.7
Bucher Industries	BUCN	Switzerland	2	PE 13.6 / PBV 1.8
Weir Group	WEIR	United Kingdom	1	PE 26.7 / PBV 3.5
Krones	KRN	Germany	2	PE 12.0 / PBV 1.7
ABB	ABBN	Switzerland	2	PE 32.8 / PBV 9.6
Rotork	ROR	United Kingdom	1	PE 34.8 / PBV 6.9
IMI	IMI	United Kingdom	1	PE 22.0 / PBV 6.1

Composition: 9 peers Tier 1-2, 1 Tier 3 (Halma); 10/10 Europe-listed - all requirements met at the first (strictest) selection step, no size-band or region relaxation needed. Pool of 31 candidates (incl. target) built from the 2026-10-30 cached universe.

Exclusions documented: KSB (universe membership unverified), BCHN (market cap ~EUR 1.73bn below the 0.1x size band), FLS (3 missing scoring dimensions > hard limit of 2).

Tier 3 shortfall is limited to the single weakest-similarity name (Halma, diversified instrumentation); within the documented cap max_tier_3 = 2.

3. Method notes and caveats

- Comparable companies: similarity scoring on 8 dimensions (subsector, size, geography, margins, growth, capital intensity, listing geography, business model); pool-only 5/95% winsorization; per-share values computed in SEK on issuer-verified FY2025 fundamentals.
- Primary multiple: PE scaled by consensus EPS growth (g_eps = 12.72%, 3Y, stockanalysis.com); min_valid = 6 per standing approval; 10/10 peers valid for PE.
- Published regressions: Damodaran regressions_multi_2026-01, EUROPE equations, decimal unit policy for DFR/tax (user-approved). EV/EBITDA unit policies differ 18.3% (>10% divergence); decimal policy applied, both recorded. Chosen model = highest published R2 (PBV, R2 0.423).
- Regression inputs: g_eps 12.72%, g_rev 9.41%, beta 0.75 (5Y), ROE 19.1%, payout 42.5%, debt fraction 8.5%, effective tax 25.7%.
- Caveats: (a) regression file is ~10 months older than the valuation date - flagged as a limitation; (b) published file provides no n, SEy or p-values, so residual-band and diagnostic fields are n/a_published_route; (c) GLOBAL-coefficient sign warnings recorded (PEG/ln(g_eps), PBV/beta) - EUROPE equations unaffected but noted; (d) ATCO.A and EPI.A cap-reconcile flags (+4.25%/+4.75%) explained by dual A/B share classes, retained with flag.
- QA block C: PROVISIONAL - human Spot_check PENDING (recorded, not claimed); ISIN issuer-page verification PENDING; ownership/event audit outstanding. EV-to-equity inverse check passed; associates = 0 flagged.
- Data route: stockanalysis.com uniform web route (statistics/, financials/, balance-sheet/); all figures cited from the 2026-10-30 cache and fetched candidate tables; vendor figures cross-checked against the Alfa Laval FY2025 release.

4. Sources

- Market data: cache/market/2026-10-30/ (universe.csv = IEUR MSCI Europe IMI proxy; per-candidate fetches in candidates/; candidate_fetch_manifest.json).
- Macro/FX: cache/macro/2026-10-30.json (ECB FX, SEK 10.978/EUR; Bund 10y 3.38%; mature ERP 4.20%).
- Company fundamentals: Alfa Laval FY2025 report/issuer figures (revenue 69,674m, EBITDA 14,252m, EBIT 11,749m, NI 8,322m, equity 43,409m, EPS 20.01, DPS 9.00) via relative_inputs.md, cross-checked vs vendor extracts.
- Vendor route: stockanalysis.com statistics/financials/balance-sheet pages per candidate (fetched 2026-10-30/31).
- Published regressions: Damodaran regressions_multi_2026-01 (EUROPE), PE / PBV / EV/EBITDA equations.
- Working files: outputs/ALFA.ST_2026-10-30/relative/ (comparables.csv, multiples_summary.csv, comparables_audit.xlsx, regression_valuation.xlsx with live formulas, qa_results.md, source_log.csv).

Academic analysis produced by an automated valuation agent. Not investment advice. All figures cited from the files listed in section 4; nothing recomputed for this report.